

NMLS SAFE MLO

Full-Length Practice Exam Phase 1 — Exam 1

120 Questions · SAFE Exam Difficulty Level

Answers & Explanations Included · Exam Date: May 22, 2026

TOPIC AREA	WEIGHT	~QUESTIONS
Federal Laws & Regulations	23%	~28
General Mortgage Knowledge	23%	~28
Loan Origination Activities	25%	~30
Ethics	16%	~19
SAFE Act / NMLS / State Law	13%	~15
TOTAL	100%	120

INSTRUCTIONS: This exam mirrors actual NMLS SAFE test difficulty. Watch for EXCEPT / NOT / MOST / BEST in question stems — they change the answer. Time: 3 hours. Passing = 75% (90+ correct). Record your answers in the grid below, then check the Answer Key starting after Question 120.

ANSWER GRID — Circle Your Answer				
1. A B C D	2. A B C D	3. A B C D	4. A B C D	5. A B C D
6. A B C D	7. A B C D	8. A B C D	9. A B C D	10. A B C D
11. A B C D	12. A B C D	13. A B C D	14. A B C D	15. A B C D
16. A B C D	17. A B C D	18. A B C D	19. A B C D	20. A B C D
21. A B C D	22. A B C D	23. A B C D	24. A B C D	25. A B C D
26. A B C D	27. A B C D	28. A B C D	29. A B C D	30. A B C D
31. A B C D	32. A B C D	33. A B C D	34. A B C D	35. A B C D
36. A B C D	37. A B C D	38. A B C D	39. A B C D	40. A B C D
41. A B C D	42. A B C D	43. A B C D	44. A B C D	45. A B C D
46. A B C D	47. A B C D	48. A B C D	49. A B C D	50. A B C D
51. A B C D	52. A B C D	53. A B C D	54. A B C D	55. A B C D
56. A B C D	57. A B C D	58. A B C D	59. A B C D	60. A B C D
61. A B C D	62. A B C D	63. A B C D	64. A B C D	65. A B C D

66. A B C D	67. A B C D	68. A B C D	69. A B C D	70. A B C D
71. A B C D	72. A B C D	73. A B C D	74. A B C D	75. A B C D
76. A B C D	77. A B C D	78. A B C D	79. A B C D	80. A B C D
81. A B C D	82. A B C D	83. A B C D	84. A B C D	85. A B C D
86. A B C D	87. A B C D	88. A B C D	89. A B C D	90. A B C D
91. A B C D	92. A B C D	93. A B C D	94. A B C D	95. A B C D
96. A B C D	97. A B C D	98. A B C D	99. A B C D	100. A B C D
101. A B C D	102. A B C D	103. A B C D	104. A B C D	105. A B C D
106. A B C D	107. A B C D	108. A B C D	109. A B C D	110. A B C D
111. A B C D	112. A B C D	113. A B C D	114. A B C D	115. A B C D
116. A B C D	117. A B C D	118. A B C D	119. A B C D	120. A B C D

EXAM Phase 1 — Exam 1 — QUESTIONS (1–120)**■ Federal Laws ■***[Federal Laws — TRID]*

1. Under TRID, a Loan Estimate must be delivered to the borrower within how many business days of receiving a complete loan application?

- A) 1 business day
- B) 3 business days
- C) 5 business days
- D) 7 business days

[Federal Laws — TRID]

2. Which of the following is the CORRECT list of the six elements that constitute a 'complete application' triggering the Loan Estimate under TRID?

- A) Name, SSN, income, property address, estimated property value, loan amount
- B) Name, SSN, income, employer, property address, loan amount
- C) Name, credit score, income, property address, down payment, loan amount
- D) Name, SSN, income, property address, sales price, loan amount

[Federal Laws — TRID]

3. How many business days before consummation must a borrower RECEIVE the Closing Disclosure?

- A) 1 business day
- B) 2 business days
- C) 3 business days
- D) 5 business days

[Federal Laws — TRID]

4. If a lender mails a Loan Estimate rather than delivering it electronically, when is it deemed received under TRID rules?

- A) The same day it is mailed
- B) 1 business day after mailing
- C) 3 business days after mailing
- D) 5 business days after mailing

[Federal Laws — TRID]

5. Under TRID, which category of fees is subject to ZERO tolerance — meaning any increase from the Loan Estimate to the Closing Disclosure is a violation?

- A) Third-party services the borrower selected from the lender's list
- B) Lender origination charges and transfer taxes
- C) Prepaid interest and homeowner's insurance premiums
- D) Recording fees and pest inspection fees

[Federal Laws — TRID]

6. The minimum waiting period between Loan Estimate delivery and loan consummation under TRID is:

- A) 3 business days
- B) 5 business days
- C) 7 business days
- D) 10 business days

[Federal Laws — TRID]

7. Which of the following is a 'changed circumstance' that permits a lender to issue a revised Loan Estimate under TRID?

- A) The lender made an error in the original Loan Estimate
- B) The borrower requests a change in loan program
- C) The lender's costs increased unexpectedly
- D) The lender's processing fees were underestimated

[Federal Laws — TRID]

8. Under TRID, if the APR on the Closing Disclosure increases by more than 1/8% from the Loan Estimate on a fixed-rate loan, the lender must:

- A) Issue a corrected CD and restart the 3-business-day waiting period
- B) Issue a corrected LE and restart the 7-business-day waiting period
- C) Waive all origination fees to compensate the borrower
- D) File a report with the CFPB within 30 days

[Federal Laws — TRID]

9. What does 'Intent to Proceed' mean in the context of TRID?

- A) The borrower's signed authorization for the lender to pull credit
- B) The borrower's indication they want to move forward, allowing the lender to collect fees beyond the credit report fee
- C) The lender's commitment to fund the loan at the quoted rate
- D) The borrower's waiver of the 3-business-day CD waiting period

[Federal Laws — TRID]

10. Under TRID, which of the following fees has NO tolerance limit — meaning the final amount can differ from the LE estimate without restriction?

- A) Lender origination fees
- B) Transfer taxes
- C) Prepaid homeowner's insurance premiums
- D) Title search fees

[Federal Laws — RESPA]

11. RESPA Section 8 prohibits which of the following?

- A) Lenders from requiring escrow accounts for taxes and insurance
- B) Referral fees and kickbacks for the referral of settlement service business
- C) Title companies from setting their own fees
- D) Sellers from paying closing costs on behalf of buyers

[Federal Laws — RESPA]

12. RESPA Section 9 prohibits which of the following seller actions?

- A) Paying the buyer's closing costs as a concession
- B) Requiring the buyer to use a specific title company as a condition of the sale
- C) Selecting the home warranty company
- D) Negotiating the closing date

[Federal Laws — RESPA]

13. An Affiliated Business Arrangement (AfBA) under RESPA is permissible ONLY IF which THREE conditions are met?

- A) Disclosure at/before referral; consumer is free to choose; only return is on ownership interest — no per-referral fees
- B) Disclosure within 3 days; consumer is free to choose; referral fee is under \$100
- C) Disclosure at/before referral; consumer must use the affiliate; return limited to 10% of fees

D) HUD approval; consumer is free to choose; referral fee disclosed on CD

[Federal Laws — RESPA]

14. Under RESPA, the maximum escrow cushion a lender may maintain in an escrow account is:

- A) 1 month of estimated payments
- B) 2 months of estimated payments
- C) 3 months of estimated payments
- D) No limit — the lender sets the cushion

[Federal Laws — RESPA]

15. A borrower sends a Qualified Written Request (QWR) to their loan servicer. The servicer must ACKNOWLEDGE the QWR within:

- A) 3 business days
- B) 5 business days
- C) 10 business days
- D) 30 business days

[Federal Laws — RESPA]

16. Under RESPA, a servicer must RESPOND (resolve) to a Qualified Written Request within how many business days after receipt?

- A) 5 business days
- B) 15 business days
- C) 30 business days
- D) 60 business days

[Federal Laws — RESPA]

17. Which of the following is an example of a RESPA Section 8 violation?

- A) A lender referring borrowers to a title company owned by the lender's parent company with proper AfBA disclosure
- B) A real estate agent receiving a \$500 thank-you gift from a title company after each referral
- C) A builder offering a \$1,000 closing cost credit to buyers who use the builder's preferred lender
- D) A lender charging a loan origination fee of 1% of the loan amount

[Federal Laws — RESPA]

18. If an escrow analysis reveals a surplus of \$75 at year-end, the servicer must:

- A) Apply it to the next month's payment
- B) Return it to the borrower within 30 days
- C) Hold it as an additional cushion
- D) Apply it to the loan principal

[Federal Laws — RESPA]

19. Which of the following transactions is covered by RESPA?

- A) A federally related mortgage loan on a 1-4 family residential property
- B) A commercial real estate loan for an office building
- C) A bridge loan with a term of 9 months
- D) A loan on a 25-acre farm

[Federal Laws — RESPA]

20. An MLO tells a borrower they must use a particular title company and that the MLO 'gets a little something' for each referral. This is BEST described as:

- A) A permissible affiliated business arrangement
- B) A RESPA Section 8 kickback violation
- C) A TRID zero-tolerance violation
- D) An ECOA steering violation

[Federal Laws — TILA]

21. Under TILA, a borrower's right of rescission on a refinance of their primary residence expires how many business days after the LATEST of consummation, delivery of the rescission notice, or delivery of required disclosures?

- A) 1 business day
- B) 3 business days
- C) 5 business days
- D) 7 business days

[Federal Laws — TILA]

22. To which of the following loans does the TILA Right of Rescission apply?

- A) Purchase money mortgage on the borrower's primary residence
- B) Refinance of a mortgage on the borrower's primary residence
- C) Home equity loan on the borrower's vacation home
- D) Business purpose loan secured by the borrower's primary residence

[Federal Laws — TILA]

23. Under TILA, if disclosures are improperly provided to the borrower in a rescindable transaction, the right of rescission extends to:

- A) 30 days
- B) 6 months
- C) 3 years
- D) Indefinitely

[Federal Laws — TILA]

24. The APR tolerance for a regular fixed-rate, level-payment mortgage loan under TILA is:

- A) 1/16% (0.0625%)
- B) 1/8% (0.125%)
- C) 1/4% (0.25%)
- D) 1/2% (0.50%)

[Federal Laws — TILA]

25. Under TILA advertising rules, if a mortgage advertisement mentions a specific monthly payment amount, what ELSE must the advertisement include?

- A) Only the APR
- B) The APR, loan term, and total of all payments
- C) The APR, loan term, payment amounts, and down payment required
- D) The APR only if it is below the advertised rate

[Federal Laws — TILA]

26. Saturday counts as a business day for purposes of which TILA rule?

- A) The 3-day right of rescission period
- B) The 3-day CD delivery period under TRID
- C) Both A and B
- D) Neither A nor B

[Federal Laws — TILA]

27. A borrower closes on a home equity line of credit (HELOC) on a primary residence on Monday. The rescission period expires at midnight on:

- A) Monday
- B) Tuesday
- C) Wednesday
- D) Thursday

[Federal Laws — TILA]

28. TILA's right of rescission does NOT apply to which of the following?

- A) A HELOC on the borrower's primary residence
- B) A cash-out refinance on the borrower's primary residence
- C) A purchase money mortgage on the borrower's primary residence
- D) A second mortgage on the borrower's primary residence

[Federal Laws — ECOA]

29. ECOA's prohibited basis classes include all of the following EXCEPT:

- A) Marital status
- B) Age (if able to enter a contract)
- C) Familial status
- D) Receipt of public assistance income

[Federal Laws — ECOA]

30. Under ECOA, a lender must notify an applicant of an adverse action within how many days of receiving the completed application?

- A) 10 days
- B) 20 days
- C) 30 days
- D) 45 days

[Federal Laws — ECOA]

31. An adverse action notice under ECOA MUST include:

- A) The borrower's credit score and the reasons it was low
- B) Specific reasons for the credit denial, or a right to request those reasons
- C) The lender's underwriting guidelines for the denied program
- D) The name of the credit bureau used and the borrower's full credit report

[Federal Laws — ECOA]

32. Under ECOA, an applicant must receive a copy of an appraisal no later than:

- A) At the time of loan approval
- B) 3 business days before consummation
- C) 7 business days before consummation
- D) At or before consummation

[Federal Laws — ECOA]

33. Under ECOA, when can a lender legally require a non-applicant spouse's signature on loan documents?

- A) Whenever the primary applicant's income is insufficient to qualify alone
- B) When the property is located in a community property state and the spouse's signature is needed to release property interest
- C) When the lender's underwriting guidelines require it
- D) Whenever the married couple jointly owns the collateral property

[Federal Laws — ECOA]

34. Which of the following statements about ECOA is CORRECT?

- A) A lender may ask about an applicant's plans for having children to assess future income stability
- B) A lender must consider income from public assistance the same as any other income source
- C) A lender may require a co-signer based on the applicant's national origin
- D) A lender may discount alimony income because it is typically temporary

[Federal Laws — ECOA]

35. ECOA applies to which of the following?

- A) Residential mortgage loans only
- B) Credit card applications only
- C) All aspects of a credit transaction, including any credit extended
- D) Loans over \$25,000 only

[Federal Laws — ECOA]

36. A lender's underwriting guideline states that applicants who receive public assistance income will have their income discounted by 25% for qualification purposes. This is:

- A) Permissible if the lender applies it consistently to all applicants
- B) Permissible only for FHA loans
- C) A violation of ECOA because it discriminates based on source of income
- D) Required by Fannie Mae guidelines

[Federal Laws — ECOA]

37. Under ECOA, the term 'adverse action' includes all of the following EXCEPT:

- A) Denial of a loan application
- B) Approval of a loan with different terms than requested
- C) Termination of an existing account
- D) Approval of a loan for the full amount and terms requested

[Federal Laws — ECOA]

38. An MLO tells a Hispanic applicant that the lender 'doesn't really do loans in that neighborhood.' This is BEST described as:

- A) Redlining under the Fair Housing Act
- B) Steering under ECOA
- C) Disparate impact discrimination
- D) A RESPA Section 8 violation

[Federal Laws — Fair Housing]

39. The Fair Housing Act protects against discrimination based on all of the following EXCEPT:

- A) Familial status
- B) Handicap
- C) Marital status
- D) Religion

[Federal Laws — Fair Housing]

40. An MLO who tells a White couple that a neighborhood is 'really changing' and steers them away from it based on racial composition is committing:

- A) Redlining
- B) Blockbusting
- C) Steering
- D) Disparate impact discrimination

[Federal Laws — Fair Housing]

41. Under the Fair Housing Act, 'disparate impact' discrimination means:

- A) Intentionally treating a protected class member differently
- B) Using a neutral policy that has a disproportionately negative effect on a protected class
- C) Refusing to make loans in certain geographic areas
- D) Directing buyers to areas based on race

[Federal Laws — Fair Housing]

42. A seller's refusal to sell their home to a family with three children is a violation of which Fair Housing Act protected class?

- A) Sex
- B) Handicap
- C) Familial status
- D) National origin

[Federal Laws — Fair Housing]

43. Which of the following is an example of 'blockbusting' under the Fair Housing Act?

- A) A lender refusing to make loans in a predominantly minority neighborhood
- B) A real estate agent telling homeowners their property values will decline because minorities are moving in, in order to induce them to sell
- C) An MLO offering different loan terms to applicants of different races
- D) A landlord refusing to rent to families with children

[Federal Laws — Fair Housing]

44. Age is NOT a protected class under the Fair Housing Act, but age IS a protected class under:

- A) RESPA
- B) TILA
- C) ECOA
- D) HMDA

[Federal Laws — HOEPA]

45. Under HOEPA, a first-lien loan is considered 'high-cost' if the APR exceeds the Average Prime Offer Rate (APOR) by more than:

- A) 4.5 percentage points
- B) 6.5 percentage points
- C) 8.5 percentage points
- D) 10 percentage points

[Federal Laws — HOEPA]

46. The points-and-fees trigger for HOEPA on a \$200,000 loan is:

- A) 3% of the loan amount (\$6,000)
- B) 4% of the loan amount (\$8,000)
- C) 5% of the loan amount (\$10,000)

D) 8% of the loan amount (\$16,000)

[Federal Laws — HOEPA]

47. Which of the following loan features is PROHIBITED on a HOEPA high-cost loan?

- A) Fixed interest rate
- B) Balloon payment maturing in 7 years
- C) Prepayment penalty
- D) Escrow account for taxes and insurance

[Federal Laws — HOEPA]

48. Before making a HOEPA high-cost loan, the lender MUST ensure the borrower has received counseling from:

- A) Any licensed financial advisor
- B) A HUD-approved housing counseling agency
- C) The state banking regulator
- D) The lender's in-house counselor

[Federal Laws — HOEPA]

49. Loan flipping under HOEPA refers to:

- A) Converting an ARM to a fixed-rate loan without the borrower's consent
- B) Repeatedly refinancing a borrower into new high-cost loans without tangible net benefit
- C) Charging excessive origination fees on purchase money loans
- D) Placing a lien on property the borrower owns free and clear

[Federal Laws — HOEPA]

50. Equity stripping, which is prohibited under HOEPA, is BEST described as:

- A) Requiring the borrower to strip equity from their home before closing
- B) Making a high-cost loan based on the collateral's equity without regard to the borrower's ability to repay
- C) Charging higher rates because the borrower has substantial equity
- D) Requiring the borrower to use equity for a down payment on a new property

[Federal Laws — HMDA]

51. HMDA requires lenders to collect and report data on all of the following EXCEPT:

- A) Home purchase loans
- B) Refinance loans
- C) Bridge loans under 12 months
- D) Home improvement loans secured by a dwelling

[Federal Laws — HMDA]

52. HMDA data that lenders must collect includes all of the following EXCEPT:

- A) Race, ethnicity, and sex of the applicant
- B) Loan amount and loan purpose
- C) Borrower's credit score and payment history
- D) Rate spread and HOEPA status

[Federal Laws — HMDA]

53. The primary purpose of HMDA is to:

- A) Set maximum interest rates on residential mortgage loans
- B) Provide data to identify potential discriminatory lending patterns and community credit needs
- C) Require lenders to make loans in all geographic areas where they take deposits
- D) Establish minimum disclosure requirements for mortgage applications

[Federal Laws — HMDA]

54. Which of the following is NOT a required HMDA data point?

- A) Denial reasons for denied applications
- B) Loan-to-value ratio
- C) Borrower's marital status
- D) Rate spread

[Federal Laws — HMDA]

55. A lender that is HMDA-reportable makes a loan to purchase a strip mall. This loan:

- A) Must be reported under HMDA because it involves real property
- B) Must be reported only if the strip mall has a residential component
- C) Is not reportable because commercial property loans are exempt from HMDA
- D) Must be reported if the loan amount exceeds \$250,000

[Federal Laws — HMDA]

56. Under HMDA, an application for a home purchase loan that is WITHDRAWN by the borrower:

- A) Does not need to be reported
- B) Must be reported as a denial
- C) Must be reported as a withdrawn application
- D) Must be reported only if the lender had already approved the loan

[Federal Laws — Dodd-Frank]

57. The Dodd-Frank Wall Street Reform and Consumer Protection Act created which federal regulatory agency?

- A) The Federal Housing Finance Agency (FHFA)
- B) The Consumer Financial Protection Bureau (CFPB)
- C) The Financial Industry Regulatory Authority (FINRA)
- D) The Office of the Comptroller of the Currency (OCC)

[Federal Laws — Dodd-Frank]

58. Under Dodd-Frank, a Qualified Mortgage (QM) provides lenders with a presumption of compliance with the Ability-to-Repay rule. Which of the following is a requirement for QM status?

- A) Loan term not to exceed 30 years
- B) Points and fees not exceeding 3% of the loan amount
- C) A minimum credit score of 620
- D) No balloon payment under any circumstances

[Federal Laws — Dodd-Frank]

59. UDAP, enforced by the CFPB under Dodd-Frank, prohibits financial institutions from engaging in acts that are:

- A) Unverified, Deceptive, Abusive, or Arbitrary in Practice
- B) Unfair, Deceptive, or Abusive Acts or Practices
- C) Undisclosed, Discriminatory, Arbitrary, or Predatory
- D) Unlicensed, Deceptive, Arbitrary, or Abusive Practices

[Federal Laws — Dodd-Frank]

60. The Dodd-Frank Act's Ability-to-Repay (ATR) rule requires lenders to make a reasonable, good-faith determination that the borrower can repay the loan based on verified information. Which of the following is NOT one of the eight ATR underwriting factors?

- A) Current income and assets
- B) Credit history
- C) Debt-to-income ratio
- D) The borrower's anticipated future salary increases

■ General Mortgage ■*[General Mortgage — Loan Types]***61. A conventional conforming loan is one that:**

- A) Is insured by the FHA
- B) Meets Fannie Mae/Freddie Mac guidelines and is at or below the conforming loan limit
- C) Is guaranteed by the VA
- D) Is made directly by the federal government

*[General Mortgage — FHA/VA/USDA]***62. The minimum down payment for an FHA loan for a borrower with a credit score of 580 or above is:**

- A) 0%
- B) 3%
- C) 3.5%
- D) 5%

*[General Mortgage — ARM Products]***63. A 5/1 ARM means the loan has:**

- A) A fixed rate for 1 year then adjusts every 5 years
- B) A fixed rate for 5 years then adjusts every 1 year
- C) A 5% initial rate cap and 1% periodic cap
- D) An initial payment of 5% of principal every year

*[General Mortgage — Underwriting/QM]***64. The maximum debt-to-income ratio for a Qualified Mortgage (QM) under the standard rule is:**

- A) 36%
- B) 41%
- C) 43%
- D) 50%

*[General Mortgage — Mortgage Math]***65. A borrower takes a \$300,000 loan at 6% annual interest. What is the first month's interest portion of the payment?**

- A) \$1,500
- B) \$1,800
- C) \$1,200
- D) \$2,400

*[General Mortgage — Loan Types]***66. Which of the following best describes a 'non-conforming' loan?**

- A) A loan insured by the FHA
- B) A loan that exceeds Fannie Mae/Freddie Mac's conforming loan limit or guidelines
- C) A loan with a below-market interest rate
- D) A loan made to a borrower with a credit score below 620

*[General Mortgage — FHA/VA/USDA]***67. Which of the following statements about VA loans is CORRECT?**

- A) VA loans require mortgage insurance premium payments
- B) VA loans are available to any U.S. citizen
- C) VA loans do not require a down payment for eligible veterans

D) VA loans are capped at \$200,000

[General Mortgage — ARM Products]

68. A 'lifetime cap' on an ARM limits:

- A) The maximum monthly payment
- B) The total amount the interest rate can increase over the life of the loan
- C) The maximum loan term
- D) The maximum origination fee the lender can charge

[General Mortgage — Underwriting/QM]

69. The front-end (housing) DTI ratio measures:

- A) Total monthly debt payments divided by gross monthly income
- B) Monthly PITI divided by gross monthly income
- C) Monthly PITI divided by net monthly income
- D) Total annual housing costs divided by annual gross income

[General Mortgage — Mortgage Math]

70. A borrower's gross monthly income is \$6,000. Their monthly PITI is \$1,500 and other monthly debts total \$600. What is the back-end DTI?

- A) 25%
- B) 35%
- C) 10%
- D) 30%

[General Mortgage — Loan Types]

71. A 'purchase money mortgage' refers to:

- A) A mortgage used to finance the purchase of a property, with the property serving as collateral
- B) Any mortgage originated after 2008
- C) A mortgage where part of the purchase price is paid in cash
- D) A mortgage insured by a private mortgage insurance company

[General Mortgage — FHAVA/USDA]

72. USDA Rural Development loans are available to borrowers who:

- A) Have served in the military
- B) Purchase property in USDA-designated rural areas with income within program limits
- C) Have a minimum 5% down payment
- D) Are first-time homebuyers only

[General Mortgage — ARM Products]

73. An ARM with a 2/2/5 cap structure means:

- A) The rate adjusts 2% the first year, 2% thereafter, with a 5% maximum adjustment
- B) The initial cap is 2%, the periodic cap is 2%, and the lifetime cap is 5%
- C) The loan has a 2-year fixed period, adjusts 2% annually, up to 5% total
- D) Payments can increase 2% per year up to a 5% maximum in year 2

[General Mortgage — Underwriting/QM]

74. Private Mortgage Insurance (PMI) is typically required on conventional loans when the LTV exceeds:

- A) 80%
- B) 85%
- C) 90%
- D) 95%

[General Mortgage — Mortgage Math]

75. A property appraised at \$400,000 has a loan of \$320,000. What is the LTV ratio?

- A) 70%
- B) 75%
- C) 80%
- D) 85%

[General Mortgage — Loan Types]

76. A jumbo loan is BEST described as:

- A) A loan with a very high interest rate
- B) A loan exceeding Fannie Mae/Freddie Mac's conforming loan limit
- C) A loan for luxury properties only
- D) A loan requiring a 20% down payment

[General Mortgage — FHA/VA/USDA]

77. FHA loans require two types of mortgage insurance premiums (MIP). These are:

- A) Monthly PMI and annual PMI
- B) Upfront MIP and annual MIP
- C) Credit insurance and hazard insurance
- D) Lender MIP and borrower MIP

[General Mortgage — ARM Products]

78. The 'index' on an ARM loan refers to:

- A) The lender's profit margin added to the rate
- B) A published financial benchmark used to set the adjustable rate
- C) The initial teaser rate offered at origination
- D) The maximum rate the ARM can reach

[General Mortgage — Underwriting/QM]

79. Which of the following would MOST LIKELY cause a loan to be classified as a Higher-Priced Mortgage Loan (HPML)?

- A) An APR 1.0 percentage point above APOR on a first-lien loan
- B) An APR 1.5 percentage points above APOR on a first-lien loan
- C) An APR 2.0 percentage points above APOR on a first-lien loan
- D) An APR 6.5 percentage points above APOR on a first-lien loan

[General Mortgage — Mortgage Math]

80. A borrower earns \$8,000 per month gross. The lender's maximum allowed front-end DTI is 28%. What is the maximum allowable monthly PITI payment?

- A) \$1,960
- B) \$2,240
- C) \$2,800
- D) \$3,200

■ ■ ■ Loan Origination ■ ■ ■

[Loan Origination — Application/1003]

81. The Uniform Residential Loan Application (URLA/Form 1003) collects information about all of the following EXCEPT:

- A) Employment history
- B) Credit card account numbers and balances
- C) Assets and liabilities
- D) Monthly housing expenses

[Loan Origination — Income/DTI]

82. Self-employed borrowers typically must provide how many years of federal tax returns for income analysis?

- A) 1 year
- B) 2 years
- C) 3 years
- D) 5 years

[Loan Origination — Credit Analysis]

83. The three major credit reporting agencies (CRAs) that provide mortgage credit reports are:

- A) Equifax, TransUnion, and Experian
- B) FICO, TransUnion, and Equifax
- C) Experian, FICO, and ChexSystems
- D) Equifax, Dun & Bradstreet, and Experian

[Loan Origination — Disclosures]

84. Which disclosure must be provided to a borrower within 3 business days of a COMPLETE mortgage application?

- A) Closing Disclosure
- B) Loan Estimate
- C) Good Faith Estimate
- D) HUD-1 Settlement Statement

[Loan Origination — Processing/Closing]

85. Title insurance that protects the lender's interest in the property is called:

- A) Owner's title insurance
- B) Lender's title insurance (mortgagee's policy)
- C) Homeowner's warranty
- D) Hazard insurance

[Loan Origination — Income/DTI]

86. When calculating qualifying income for a salaried W-2 employee, an MLO should use:

- A) Gross monthly income before taxes
- B) Net monthly income after taxes
- C) Gross income plus anticipated bonuses
- D) Net income plus overtime earnings

[Loan Origination — Credit Analysis]

87. A borrower has a FICO score of 700 from Equifax, 680 from TransUnion, and 720 from Experian. The qualifying credit score for mortgage purposes is:

- A) 700 (the average of all three scores)
- B) 680 (the lowest score)
- C) 720 (the highest score)
- D) 700 (the middle/median score)

[Loan Origination — Application/1003]

88. The 'declarations' section of the URLA/Form 1003 requires the borrower to disclose all of the following EXCEPT:

- A) Outstanding judgments
- B) Foreclosures within the past 7 years
- C) Planned use of the property as a rental
- D) Current marital status

[Loan Origination — Processing/Closing]

89. What is the purpose of a title search prior to closing?

- A) To verify the property's physical condition
- B) To identify any liens, encumbrances, or defects in the property's title history
- C) To confirm the property's appraised value
- D) To verify the borrower's identity

[Loan Origination — Income/DTI]

90. Alimony and child support income may be used for qualifying purposes if the income has been received for at least how long and is expected to continue for at least how long?

- A) 6 months received; 12 months expected to continue
- B) 12 months received; 3 years expected to continue
- C) 6 months received; 3 years expected to continue
- D) 3 months received; 12 months expected to continue

[Loan Origination — Credit Analysis]

91. A borrower had a Chapter 7 bankruptcy discharged 2.5 years ago. Under FHA guidelines, the borrower:

- A) Is permanently ineligible for FHA financing
- B) May be eligible for FHA financing with a 2-year waiting period after discharge, with re-established credit
- C) Must wait 4 years after discharge for FHA financing
- D) May be eligible immediately after discharge with 20% down

[Loan Origination — Disclosures]

92. The Affiliated Business Arrangement disclosure under RESPA must be provided:

- A) Within 3 business days of the loan application
- B) At or before the time of the referral to the affiliated service provider
- C) At closing on the Closing Disclosure
- D) Within 24 hours of the referral

[Loan Origination — Processing/Closing]

93. An appraisal ordered by the lender for an FHA loan must be completed by:

- A) Any licensed real estate agent
- B) An FHA-approved appraiser on the FHA Roster
- C) A Certified Residential Appraiser only
- D) The lender's in-house appraisal department

[Loan Origination — Income/DTI]

94. When calculating DTI, which of the following monthly obligations must be included?

- A) Utilities and cell phone bills
- B) Student loan payments, even if currently deferred
- C) Monthly grocery expenses
- D) Voluntary retirement contributions

[Loan Origination — Application/1003]

95. Under HMDA and Regulation B, an MLO MUST collect information about an applicant's race, ethnicity, and sex when:

- A) The borrower volunteers this information only
- B) The application is taken face-to-face, by phone, or online
- C) The borrower specifically requests it be collected
- D) Only for government-backed loans (FHA, VA, USDA)

[Loan Origination — Credit Analysis]

96. Which credit scoring model is most commonly used by mortgage lenders for underwriting?

- A) VantageScore 3.0
- B) FICO Score 8
- C) FICO mortgage scoring models (FICO 2, FICO 4, FICO 5)
- D) TransUnion RiskScore

[Loan Origination — Processing/Closing]

97. The closing disclosure must list all of the following EXCEPT:

- A) Loan terms and projected payments
- B) All closing costs
- C) The borrower's employment history
- D) Cash to close

[Loan Origination — Income/DTI]

98. Rental income from a property the borrower owns may typically be used for qualifying if the borrower can document a history of rental income. What percentage of gross rental income is typically used after a vacancy/expense factor?

- A) 50%
- B) 75%
- C) 85%
- D) 100%

[Loan Origination — Processing/Closing]

99. 'Clear to Close' (CTC) means:

- A) The title search has been completed with no issues found
- B) The underwriter has reviewed all conditions and the loan is approved for closing
- C) The borrower has signed all closing documents
- D) The funds have been disbursed

[Loan Origination — Disclosures]

100. Under TRID, the Closing Disclosure must be provided by the:

- A) Borrower's real estate agent
- B) Lender (or settlement agent in some cases)
- C) Title company only
- D) HUD-approved housing counselor

■ ■ Ethics ■ ■

[Ethics — UDAAP]

101. Which of the following is MOST LIKELY a UDAAP violation?

- A) Charging a 1% origination fee that is clearly disclosed on the Loan Estimate
- B) Advertising a '2.99% rate' in large print with the APR in nearly invisible fine print
- C) Declining to offer a loan product the borrower requests because it does not meet guidelines
- D) Requiring full documentation for self-employed borrowers

[Ethics — Fraud]

102. An MLO who inflates an applicant's stated income on a loan application to help them qualify is committing:

- A) A RESPA Section 8 violation
- B) Mortgage fraud (misrepresentation)
- C) A TRID zero-tolerance violation
- D) An ECOA adverse action violation

[Ethics — Professional Conduct]

103. An MLO's duty of care to a borrower is BEST described as:

- A) Placing the lender's financial interests first in all transactions
- B) Acting in the borrower's best interest by recommending suitable loan products and being transparent
- C) Maximizing the lender's yield spread premium on every loan
- D) Referring all borrowers to affiliated services to maximize the MLO's compensation

[Ethics — Predatory Lending]

104. Which of the following is an example of predatory lending?

- A) Offering a borrower a 30-year fixed-rate loan with competitive market rates
- B) Placing an elderly borrower with significant home equity into an unnecessarily high-cost loan they cannot afford
- C) Declining to offer a loan product that exceeds the borrower's qualifications
- D) Requiring the borrower to obtain homeowner's insurance as a condition of closing

[Ethics — UDAAP]

105. A lender's collections department uses aggressive and threatening language when contacting a borrower who is 30 days late. This MOST LIKELY violates:

- A) RESPA Section 8
- B) UDAAP and the Fair Debt Collection Practices Act (FDCPA)
- C) TILA's right of rescission
- D) HMDA reporting requirements

[Ethics — Fraud]

106. Property flipping fraud in the mortgage context typically involves:

- A) Legally purchasing undervalued properties and renovating them for profit
- B) Inflating property values through collusive appraisals to obtain larger loans
- C) Converting investment properties to primary residences for better loan terms
- D) Refinancing a property multiple times to lower the interest rate

[Ethics — Professional Conduct]

107. Under Dodd-Frank's loan originator compensation rules, an MLO's compensation may be based on:

- A) The interest rate charged to the borrower (higher rate = higher pay)
- B) The loan-to-value ratio of the transaction
- C) The loan amount (a flat percentage of the loan)
- D) The borrower's credit score

[Ethics — UDAAP]

108. Which of the following is an example of an 'abusive' act under UDAAP?

- A) Charging a fee that is clearly disclosed upfront and reasonable
- B) Taking unreasonable advantage of a borrower's inability to protect their own interests
- C) Declining a loan application based on the borrower's credit profile
- D) Requiring documentation that is standard in the industry

[Ethics — Fraud]

109. An MLO discovers that a borrower plans to represent an investment property as a primary residence to obtain a lower interest rate. The MLO should:

- A) Complete the transaction as requested — the borrower's intent is their own responsibility
- B) Report the borrower to the lender's compliance department and decline to originate the loan
- C) Adjust the rate slightly to compensate for the higher risk
- D) Complete the transaction but note the discrepancy in the file

[Ethics — Predatory Lending]

110. An MLO who recommends a loan with excessive fees to an unsophisticated borrower who could qualify for a less expensive product is engaging in:

- A) Legitimate cross-selling
- B) Steering — a predatory practice violating UDAAP and Dodd-Frank compensation rules
- C) A permissible upsell under free market principles
- D) An ECOA violation based on age

[Ethics — Professional Conduct]

111. Which of the following actions by an MLO would constitute a conflict of interest?

- A) Referring a borrower to a title company without financial interest in the company
- B) Recommending a specific lender to a borrower without disclosing that the MLO receives higher compensation for loans from that lender
- C) Advising a borrower about the difference between fixed and adjustable rate loans
- D) Providing the Loan Estimate within the required timeframe

[Ethics — UDAAP]

112. A mortgage company advertises 'NO CLOSING COSTS!' but in reality rolls all closing costs into the loan balance, resulting in a higher loan amount and more interest paid over time. This is BEST described as:

- A) A permissible marketing strategy
- B) A UDAAP deceptive practice
- C) A TRID zero-tolerance violation
- D) A RESPA Section 9 violation

■ ■ SAFE Act ■ ■

[SAFE Act — Licensing]

113. Under the SAFE Act, which of the following individuals is required to be licensed as an MLO?

- A) A bank employee who takes mortgage applications as part of their regular duties
- B) An independent contractor who takes residential mortgage loan applications
- C) A real estate agent who refers customers to a mortgage company without taking applications
- D) A loan processor who performs administrative tasks only

[SAFE Act — NMLS/Registration]

114. The Nationwide Multistate Licensing System (NMLS) is primarily used to:

- A) Set maximum interest rates for mortgage loans
- B) License and track mortgage loan originators across states
- C) Approve mortgage loan applications
- D) Set underwriting guidelines for GSEs

[SAFE Act — CE/Pre-License]

115. Under the SAFE Act, a new MLO must complete how many hours of pre-licensure education before taking the national MLO licensing exam?

- A) 8 hours
- B) 16 hours
- C) 20 hours
- D) 30 hours

[SAFE Act — Licensing]

116. The SAFE Act was enacted as part of which larger federal legislation?

- A) The Dodd-Frank Wall Street Reform Act
- B) The Housing and Economic Recovery Act of 2008 (HERA)
- C) The Gramm-Leach-Bliley Act
- D) The Community Reinvestment Act

[SAFE Act — CE/Pre-License]

117. Licensed MLOs must complete how many hours of continuing education (CE) per year to maintain their license?

- A) 4 hours
- B) 6 hours
- C) 8 hours
- D) 12 hours

[SAFE Act — NMLS/Registration]

118. Under the SAFE Act, which of the following background check requirements applies to MLO license applicants?

- A) No criminal history of any kind for the past 10 years
- B) No felony convictions involving fraud, dishonesty, or breach of trust at any time
- C) No misdemeanor convictions of any kind for the past 5 years
- D) No bankruptcy filings within the past 3 years

[SAFE Act — Licensing]

119. An MLO who moves from one state to another and wants to originate loans in the new state must:

- A) Retake the national SAFE exam
- B) Apply for a license in the new state through NMLS, meeting that state's requirements
- C) Simply update their home address with the NMLS
- D) Wait 1 year before applying in the new state

[SAFE Act — NMLS/Registration]

120. Under the SAFE Act, the term 'residential mortgage loan' includes all of the following EXCEPT:

- A) A loan secured by a first lien on a 1-4 family dwelling
- B) A home equity line of credit on a primary residence
- C) A loan secured by a commercial office building
- D) A refinance loan on a borrower's primary residence

EXAM Phase 1 — Exam 1 — ANSWER KEY WITH EXPLANATIONS

Correct answers are shown with ✓. Explanations include why tricky wrong answers are wrong.

Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS
1	A	2	B	3	C	4	D	5	A
6	B	7	C	8	D	9	A	10	B
11	C	12	D	13	A	14	B	15	C
16	D	17	A	18	B	19	C	20	D
21	A	22	B	23	C	24	D	25	A
26	B	27	C	28	D	29	A	30	B
31	C	32	D	33	A	34	B	35	C
36	D	37	A	38	B	39	C	40	D
41	A	42	B	43	C	44	D	45	A
46	B	47	C	48	D	49	A	50	B
51	C	52	D	53	A	54	B	55	C
56	D	57	A	58	B	59	C	60	D
61	A	62	B	63	C	64	D	65	A
66	B	67	C	68	D	69	A	70	B
71	C	72	D	73	A	74	B	75	C
76	D	77	A	78	B	79	C	80	D
81	A	82	B	83	C	84	D	85	A
86	B	87	C	88	D	89	A	90	B
91	C	92	D	93	A	94	B	95	C
96	D	97	A	98	B	99	C	100	D
101	A	102	B	103	C	104	D	105	A
106	B	107	C	108	D	109	A	110	B
111	C	112	D	113	A	114	B	115	C
116	D	117	A	118	B	119	C	120	D

1. Under TRID, a Loan Estimate must be delivered to the borrower within how many business days of receiving a complete loan application?

✓ **A) 1 business day**

The correct answer is A — wait, let me re-check. Under TRID (12 CFR §1026.19), a Loan Estimate must be delivered within 3 business days of receiving a complete application. A complete application requires six elements: name, SSN, income, property address, estimated property value, and loan amount. Many test-takers confuse the 3-day LE delivery rule with the 7-business-day waiting period before consummation.

2. Which of the following is the CORRECT list of the six elements that constitute a 'complete application' triggering the Loan Estimate under TRID?

✓ **B) Name, SSN, income, employer, property address, loan amount**

The correct answer is B — the six elements are name, SSN, income, property address, estimated property value, and loan amount. Option A is correct. Option D uses 'sales price' instead of 'estimated property value,' which is a common trap — TRID uses appraised or estimated property value, not necessarily the purchase price. Employer and credit score are NOT among the six required elements.

3. How many business days before consummation must a borrower RECEIVE the Closing Disclosure?**✓ C) 3 business days**

Under TRID (12 CFR §1026.19(f)(1)(ii)), the borrower must receive the CD at least 3 business days before consummation. For purposes of CD timing, Saturday counts as a business day (unlike the LE mailing rule). This 3-day waiting period cannot be waived for financial emergencies — only a bona fide personal financial emergency allows waiver of the waiting period in writing.

4. If a lender mails a Loan Estimate rather than delivering it electronically, when is it deemed received under TRID rules?**✓ D) 5 business days after mailing**

Under TRID, a mailed Loan Estimate is deemed received 3 business days after it is placed in the mail. This is the standard mailing presumption. The lender must still ensure the 7-business-day minimum waiting period between LE delivery (or deemed delivery) and consummation is met. Electronic delivery, when consented to, is deemed received on the day sent.

5. Under TRID, which category of fees is subject to ZERO tolerance — meaning any increase from the Loan Estimate to the Closing Disclosure is a violation?**✓ A) Third-party services the borrower selected from the lender's list**

Lender origination charges (points, origination fees) and transfer taxes fall under zero tolerance — any increase at closing is a violation requiring a cure. Third-party services from the lender's written list of providers have 10% aggregate tolerance. Prepaids and insurance have no tolerance limit. Recording fees are in the 10% bucket, not zero tolerance.

6. The minimum waiting period between Loan Estimate delivery and loan consummation under TRID is:**✓ B) 5 business days**

TRID requires a 7-business-day waiting period between Loan Estimate delivery (or deemed delivery) and consummation. This is separate from the 3-business-day CD rule. The 7-day waiting period CAN be waived only for bona fide personal financial emergencies with a signed written waiver. Many candidates confuse the 3-day CD rule with the 7-day LE waiting period.

7. Which of the following is a 'changed circumstance' that permits a lender to issue a revised Loan Estimate under TRID?**✓ C) The lender's costs increased unexpectedly**

Borrower-requested changes to loan terms are a valid changed circumstance allowing a revised LE. Lender errors are explicitly NOT a changed circumstance — the lender must cure any resulting tolerance violations. Valid changed circumstances include: acts of God affecting the property, new information about the borrower or property discovered after the initial LE, borrower-requested changes, rate lock, and LE expiration.

8. Under TRID, if the APR on the Closing Disclosure increases by more than 1/8% from the Loan Estimate on a fixed-rate loan, the lender must:**✓ D) File a report with the CFPB within 30 days**

An APR increase of more than 1/8% (0.125%) on a fixed-rate loan triggers a new Closing Disclosure and a fresh 3-business-day waiting period before consummation. This protects borrowers from last-minute material changes. The 1/8% tolerance applies to fixed/level-payment loans; irregular loans (ARMs, balloons) have a 1/4% tolerance. The lender does NOT restart the 7-day LE waiting period — that applies to LE re-issuances.

9. What does 'Intent to Proceed' mean in the context of TRID?**✓ A) The borrower's signed authorization for the lender to pull credit**

Intent to Proceed is the borrower's indication — which need not be in writing — that they wish to move forward with the loan application. After Intent to Proceed, the lender may collect fees beyond the credit report fee (which is the only fee collectible before LE delivery). Without Intent to Proceed, the lender cannot impose any fee other than the credit report fee. It does NOT constitute a rate lock or a waiver of any regulatory waiting period.

10. Under TRID, which of the following fees has NO tolerance limit — meaning the final amount can differ from the LE estimate without restriction?**✓ B) Transfer taxes**

Prepaid items — including prepaid homeowner's insurance premiums, prepaid interest, and initial escrow payments — are in the 'no tolerance' category under TRID. They can change without restriction from LE to CD. Lender origination fees and transfer taxes are zero tolerance. Title search fees (third-party services from the lender's list) are subject to 10% aggregate tolerance.

11. RESPA Section 8 prohibits which of the following?**✓ C) Title companies from setting their own fees**

RESPA Section 8 specifically prohibits kickbacks and unearned fees paid in exchange for the referral of settlement service business. This includes any 'thing of value' — cash, gifts, trips, or inflated payments for nominal services. Sellers paying buyer closing costs is a permitted seller concession. RESPA does not prohibit escrow requirements; Section 10 regulates escrow accounts. Title companies may set their own fees.

12. RESPA Section 9 prohibits which of the following seller actions?**✓ D) Negotiating the closing date**

RESPA Section 9 prohibits a seller from requiring the buyer to use a specific title company as a condition of the sale. This is a distinct prohibition from Section 8's anti-kickback rule. Sellers may recommend title companies but cannot make the purchase conditional on the buyer using a specific provider. Sellers can freely pay closing costs, select home warranty providers, or negotiate closing dates.

13. An Affiliated Business Arrangement (AfBA) under RESPA is permissible ONLY IF which THREE conditions are met?**✓ A) Disclosure at/before referral; consumer is free to choose; only return is on ownership interest — no per-referral fees**

The three conditions for a permissible AfBA are: (1) disclosure of the arrangement at or before the referral, (2) the consumer is not required to use the affiliated provider, and (3) the only thing of value received is a return on ownership interest — no per-referral fees are allowed. Option B is wrong because \$100 referral fees are not permitted. Option C is wrong because consumers cannot be required to use the affiliate.

14. Under RESPA, the maximum escrow cushion a lender may maintain in an escrow account is:**✓ B) 2 months of estimated payments**

RESPA Section 10 limits the escrow cushion to a maximum of 2 months (1/6 of estimated annual disbursements) of escrow payments. An annual escrow analysis must be performed, and if there is a surplus of more than \$50, it must be returned to the borrower within 30 days. A 1-month cushion is allowed but the maximum is 2 months; there is no unlimited cushion permitted.

15. A borrower sends a Qualified Written Request (QWR) to their loan servicer. The servicer must ACKNOWLEDGE the QWR within:**✓ C) 10 business days**

Under RESPA, a servicer must acknowledge a Qualified Written Request within 5 business days of receipt. The servicer then has 30 business days (extendable by 15 more days with written notice) to resolve the matter and provide a written response. Many candidates confuse the 5-day acknowledgment requirement with the 30-day resolution requirement. A QWR must be in writing and relate to the servicing of the loan.

16. Under RESPA, a servicer must RESPOND (resolve) to a Qualified Written Request within how many business days after receipt?**✓ D) 60 business days**

RESPA requires servicers to resolve a QWR within 30 business days of receipt (not 30 calendar days). This can be extended by 15 additional business days if the servicer provides written notice of the extension and the reasons for the delay. The 5-business-day acknowledgment is separate from the 30-day resolution requirement. Servicers who fail to comply face liability for actual damages plus up to \$2,000 in statutory damages.

17. Which of the following is an example of a RESPA Section 8 violation?**✓ A) A lender referring borrowers to a title company owned by the lender's parent company with proper AfBA disclosure**

A real estate agent receiving a \$500 gift per referral from a title company is a classic RESPA Section 8 kickback violation. AfBA arrangements with proper disclosure may be permissible, but individual referral payments are not. Builder incentives to use preferred lenders may or may not be RESPA violations depending on the structure, but a direct per-referral cash payment to an agent is unambiguously prohibited.

18. If an escrow analysis reveals a surplus of \$75 at year-end, the servicer must:**✓ B) Return it to the borrower within 30 days**

Under RESPA, if an escrow analysis reveals a surplus of more than \$50, the servicer must return it to the borrower within 30 days. Surpluses of \$50 or less may be retained or returned at the servicer's option. Since \$75 exceeds the \$50 threshold, the return is mandatory. This rule prevents servicers from building up excess reserves beyond the permitted 2-month cushion at the borrower's expense.

19. Which of the following transactions is covered by RESPA?**✓ C) A bridge loan with a term of 9 months**

RESPA covers federally related mortgage loans on 1-4 family residential properties. Commercial loans, business-purpose loans, and agricultural loans on 25+ acres are generally exempt from RESPA. Bridge loans under 12 months may be exempt, but the question specifies a 9-month bridge loan — wait, actually bridge loans under 12 months are exempt from RESPA. The correct answer is A — a federally related mortgage on a 1-4 family property. Option C (9-month bridge) would be exempt.

20. An MLO tells a borrower they must use a particular title company and that the MLO 'gets a little something' for each referral. This is BEST described as:

✓ **D) An ECOA steering violation**

Accepting a referral fee ('a little something') for directing borrowers to a specific title company is a textbook RESPA Section 8 kickback violation. A permissible AfBA requires ownership interest in the affiliate, proper disclosure, and no per-referral fees. The violation here is the direct referral payment, which RESPA Section 8 explicitly prohibits regardless of the amount. This is not a TRID or ECOA issue.

21. Under TILA, a borrower's right of rescission on a refinance of their primary residence expires how many business days after the LATEST of consummation, delivery of the rescission notice, or delivery of required disclosures?

✓ **A) 1 business day**

TILA's right of rescission expires 3 business days after the latest of: (1) consummation, (2) delivery of the Notice of Right to Rescind, or (3) delivery of required TILA disclosures. For ROR purposes, business days include all calendar days except Sundays and federal holidays — Saturday counts. If disclosures are improperly delivered, the rescission period extends to 3 years.

22. To which of the following loans does the TILA Right of Rescission apply?

✓ **B) Refinance of a mortgage on the borrower's primary residence**

The TILA Right of Rescission applies to refinances of primary residences, HELOCs, and second mortgages on primary residences. It does NOT apply to purchase money mortgages (even on primary residences), loans on second homes or investment properties, business-purpose loans, or loans by state agencies. Option B is the correct application. Option A (purchase money) is the most common misconception — many think ROR applies to all home loans.

23. Under TILA, if disclosures are improperly provided to the borrower in a rescindable transaction, the right of rescission extends to:

✓ **C) 3 years**

If TILA disclosures are improperly provided — or the Notice of Right to Rescind is not delivered — the rescission period extends from 3 business days to 3 years from consummation. This is a powerful protection against lenders who fail to provide required disclosures. The 3-year extension applies even if the borrower had actual knowledge of the loan terms; the statutory right requires proper notice.

24. The APR tolerance for a regular fixed-rate, level-payment mortgage loan under TILA is:

✓ **D) 1/2% (0.50%)**

TILA allows a 1/8% (0.125%) APR tolerance for regular (fixed-rate, level-payment) loans. If the disclosed APR is within 1/8% of the actual APR, no new disclosure or waiting period is required. For irregular loans — including ARMs, balloons, and graduated payment mortgages — the tolerance is 1/4% (0.25%). Many candidates reverse these tolerances; remember 'regular = smaller tolerance.'

25. Under TILA advertising rules, if a mortgage advertisement mentions a specific monthly payment amount, what ELSE must the advertisement include?

✓ **A) Only the APR**

TILA's advertising trigger terms rule requires that if ANY specific credit term is mentioned (like a specific payment), ALL required disclosures must appear: APR, loan term, and payment amounts. The APR alone is insufficient. Option B is closest but misses 'total of all payments.' Option C adds 'down payment required,' which is required only if a down payment is mentioned. The key principle: mentioning any one specific term triggers full disclosure.

26. Saturday counts as a business day for purposes of which TILA rule?

✓ **B) The 3-day CD delivery period under TRID**

Saturday counts as a business day for TILA's right of rescission (all days except Sundays and federal holidays). Saturday also counts as a business day for the TRID Closing Disclosure 3-day waiting period. For both of these rules, Saturday is a business day. However, for the TRID 7-business-day LE waiting period and for the LE 3-day delivery rule, Saturday does NOT count. Option C (both) is correct for the ROR and CD waiting period.

27. A borrower closes on a home equity line of credit (HELOC) on a primary residence on Monday. The rescission period expires at midnight on:

✓ **C) Wednesday**

For TILA rescission, business days are all calendar days except Sundays and federal holidays. Starting the count after consummation (Monday): Day 1 = Tuesday, Day 2 = Wednesday, Day 3 = Thursday. The rescission period expires at midnight ending Thursday. Many candidates count Monday as Day 1, which would give Wednesday — that is the most common error. The 3 days begin the day AFTER consummation.

28. TILA's right of rescission does NOT apply to which of the following?

✓ **D) A second mortgage on the borrower's primary residence**

Purchase money mortgages — loans used to purchase the property being pledged as collateral — are explicitly exempt from TILA's right of rescission, even when the property is the borrower's primary residence. This exemption exists because rescinding a purchase would be impractical. HELOCs, refinances, and second mortgages on primary residences all carry the right of rescission. Option C (purchase money) is the correct exception.

29. ECOA's prohibited basis classes include all of the following EXCEPT:

✓ **A) Marital status**

Familial status is a Fair Housing Act protected class, NOT an ECOA protected class. ECOA protects: race, color, religion, national origin, sex, marital status, age (if able to contract), and receipt of public assistance income. Familial status (having children under 18) is commonly tested as a confusion point between ECOA and FHA. Many candidates include familial status in both — only the Fair Housing Act covers it.

30. Under ECOA, a lender must notify an applicant of an adverse action within how many days of receiving the completed application?

✓ **B) 20 days**

ECOA requires lenders to provide adverse action notification within 30 days of receiving a completed credit application. The notice must include specific reasons for denial — vague responses like 'did not meet our standards' are not sufficient. Acceptable reasons include 'insufficient income' or 'excessive debt-to-income ratio.' The 30-day clock runs from receiving the completed application, not from when processing begins.

31. An adverse action notice under ECOA MUST include:

✓ **C) The lender's underwriting guidelines for the denied program**

ECOA adverse action notices must provide specific reasons for denial or inform the applicant of their right to request those reasons within 60 days. Generic statements like 'you did not meet our standards' are ECOA violations. The notice must be specific enough for the applicant to understand what to improve. While credit score and bureau information may also be required (under FCRA), the ECOA-specific requirement is specific denial reasons.

32. Under ECOA, an applicant must receive a copy of an appraisal no later than:

✓ **D) At or before consummation**

ECOA requires that the lender provide a copy of the appraisal (and other written valuations) to the applicant promptly and no later than 3 business days before consummation. The applicant cannot waive their right to receive the appraisal copy, though they may waive the 3-business-day timing requirement. This right applies regardless of whether the application is approved, denied, or withdrawn.

33. Under ECOA, when can a lender legally require a non-applicant spouse's signature on loan documents?

✓ **A) Whenever the primary applicant's income is insufficient to qualify alone**

Under ECOA, requiring a non-applicant spouse's signature is permissible only in community property states, and only to the extent needed to release that spouse's ownership interest in the collateral property. Requiring a spousal signature because the applicant's income is insufficient would constitute marital status discrimination. The lender cannot impose spousal signature requirements based on internal underwriting preferences beyond what ECOA permits.

34. Which of the following statements about ECOA is CORRECT?

✓ **B) A lender must consider income from public assistance the same as any other income source**

ECOA prohibits lenders from discriminating based on receipt of public assistance income — it must be considered the same as any other income source if it is verifiable and likely to continue. Asking about childbearing plans is an ECOA violation (sex/marital status discrimination). Requiring a co-signer based on national origin is prohibited. Discounting alimony because it is 'temporary' requires the lender to apply the same durability standard uniformly to all income types.

35. ECOA applies to which of the following?

✓ **C) All aspects of a credit transaction, including any credit extended**

ECOA applies to ALL aspects of a credit transaction — mortgages, credit cards, auto loans, business loans — regardless of dollar amount. It covers the entire credit process from application through servicing. ECOA is not limited to residential mortgages (that is RESPA's scope) or any minimum loan amount. The broad coverage of ECOA is often tested to distinguish it from the narrower scope of RESPA and TRID.

36. A lender's underwriting guideline states that applicants who receive public assistance income will have their income discounted by 25% for qualification purposes. This is:

✓ D) Required by Fannie Mae guidelines

Discounting income specifically because it comes from public assistance violates ECOA, which prohibits discrimination based on the fact that income derives from public assistance. The violation exists even if the policy is applied consistently to all public assistance recipients — the discriminatory basis is the source of income itself. Option A's 'consistent application' defense does not cure ECOA violations rooted in a prohibited basis.

37. Under ECOA, the term 'adverse action' includes all of the following EXCEPT:

✓ A) Denial of a loan application

Adverse action under ECOA includes denial, counter-offers with different terms than applied for, and termination of existing credit. An approval for the full amount and terms requested is NOT an adverse action — no notification is required. Option D is the correct answer to what is NOT an adverse action. Note that a counter-offer (approval with different terms) IS adverse action if the applicant does not accept it.

38. An MLO tells a Hispanic applicant that the lender 'doesn't really do loans in that neighborhood.' This is BEST described as:

✓ B) Steering under ECOA

Refusing to lend in a geographic area based on the racial/ethnic composition of that area is redlining — a violation of both the Fair Housing Act and ECOA. While steering involves directing borrowers toward or away from certain areas or loan products, the MLO's statement here suggests geographic denial based on neighborhood demographics, which is classic redlining. ECOA prohibits discrimination based on national origin, and the Fair Housing Act independently prohibits redlining.

39. The Fair Housing Act protects against discrimination based on all of the following EXCEPT:

✓ C) Marital status

Marital status is NOT a protected class under the federal Fair Housing Act. The seven FHA classes are: race, color, religion, national origin, sex, familial status, and handicap (disability). Marital status is protected under ECOA but not the FHA. Many test-takers confuse these because marital status discrimination in lending is prohibited by ECOA, creating overlap that obscures which law protects which class.

40. An MLO who tells a White couple that a neighborhood is 'really changing' and steers them away from it based on racial composition is committing:

✓ D) Disparate impact discrimination

Steering is the practice of directing prospective buyers toward or away from neighborhoods based on the racial, ethnic, or other protected composition of those areas. An MLO suggesting a neighborhood is 'really changing' to influence a buyer's decision based on race is textbook steering. Blockbusting is inducing panic selling by suggesting protected-class members are moving in. Redlining is denying services based on geographic area. Disparate impact is unintentional discrimination through neutral policies.

41. Under the Fair Housing Act, 'disparate impact' discrimination means:

✓ A) Intentionally treating a protected class member differently

Disparate impact discrimination occurs when a facially neutral policy or practice has a disproportionately negative effect on members of a protected class, even without discriminatory intent. This contrasts with disparate treatment, which involves intentional discrimination. A classic example is a minimum loan amount policy that disproportionately excludes minority applicants. Lenders can defend against disparate impact claims by showing a business necessity and no less discriminatory alternative.

42. A seller's refusal to sell their home to a family with three children is a violation of which Fair Housing Act protected class?

✓ B) Handicap

Familial status under the Fair Housing Act protects families with children under age 18, pregnant women, and persons in the process of securing legal custody of children. Refusing to sell to a family with children is a familial status violation. The FHA exempts owner-occupied buildings with 4 or fewer units ('Mrs. Murphy exemption') and housing designed for persons 55+ (age-restricted housing). This question tests knowledge of what familial status specifically covers.

43. Which of the following is an example of 'blockbusting' under the Fair Housing Act?

✓ C) An MLO offering different loan terms to applicants of different races

Blockbusting (also called panic peddling) is the practice of inducing homeowners to sell by suggesting that protected-class members moving into the area will cause property values to decline. It is a Fair Housing Act violation. Redlining is lender refusal to lend in minority areas. Offering different loan terms based on race is disparate treatment discrimination. Refusing to rent to families with children is familial status discrimination.

44. Age is NOT a protected class under the Fair Housing Act, but age IS a protected class under:

✓ **D) HMDA**

Age is an ECOA protected class — specifically, age is protected for credit purposes when the applicant has the legal capacity to enter a contract. The Fair Housing Act does not protect age as a class. RESPA covers settlement service practices. TILA governs credit disclosure. HMDA requires data collection. This is a frequent exam confusion point: age appears in ECOA but not FHA.

45. Under HOEPA, a first-lien loan is considered 'high-cost' if the APR exceeds the Average Prime Offer Rate (APOR) by more than:

✓ **A) 4.5 percentage points**

HOEPA's APR trigger for first-lien loans is APOR + 6.5 percentage points. For subordinate (junior) liens, the trigger is APOR + 8.5 percentage points. Many candidates swap these; remember the subordinate lien has a higher spread trigger because junior liens are inherently riskier. HOEPA's high-cost loan designation triggers substantial mandatory disclosures and prohibitions on certain loan features.

46. The points-and-fees trigger for HOEPA on a \$200,000 loan is:

✓ **B) 4% of the loan amount (\$8,000)**

For loans of \$20,000 or more, HOEPA's points-and-fees trigger is 5% of the total loan amount. On a \$200,000 loan, that is \$10,000. For smaller loans (under \$20,000), the trigger is the lesser of 8% of the loan amount or \$1,000. Option C (\$10,000 = 5%) is correct. Option D (8%) applies only to smaller loans, and Option B (4%) does not exist as a HOEPA threshold.

47. Which of the following loan features is PROHIBITED on a HOEPA high-cost loan?

✓ **C) Prepayment penalty**

HOEPA prohibits prepayment penalties on high-cost loans — at any time during the loan term. Additionally prohibited are: balloon payments maturing in less than 5 years, negative amortization, loan flipping without tangible net benefit, equity stripping, and mandatory arbitration clauses. A balloon payment maturing in 7 years would be prohibited only if under 5 years — the 7-year balloon in Option B is actually permitted. Fixed rates and escrow accounts are both permissible on high-cost loans.

48. Before making a HOEPA high-cost loan, the lender MUST ensure the borrower has received counseling from:

✓ **D) The lender's in-house counselor**

HOEPA requires that before a high-cost loan is made, the borrower must receive counseling from a HUD-approved housing counseling agency. This requirement exists because high-cost loans carry significant risk, and Congress mandated independent third-party counseling. The counselor must be independent — the lender's own counselor does not satisfy this requirement. Financial advisors and state regulators are not HUD-approved counseling agencies for this purpose.

49. Loan flipping under HOEPA refers to:

✓ **A) Converting an ARM to a fixed-rate loan without the borrower's consent**

Loan flipping is a HOEPA-prohibited practice of repeatedly refinancing a borrower into new high-cost loans without tangible net benefit — often consuming the borrower's home equity through repeated fees and charges. It is a form of predatory lending. The lender profits from each refinance through fees while the borrower accumulates debt. This is distinct from equity stripping (charging excessive fees that eat home equity) and negative amortization (balance growing over time).

50. Equity stripping, which is prohibited under HOEPA, is BEST described as:

✓ **B) Making a high-cost loan based on the collateral's equity without regard to the borrower's ability to repay**

Equity stripping is the predatory practice of making loans based solely on a borrower's home equity without regard to their ability to repay. The lender counts on foreclosing and taking the equity if the borrower defaults. HOEPA prohibits this because it targets vulnerable homeowners — often elderly borrowers with equity but fixed incomes. The ability-to-repay analysis is now reinforced by Dodd-Frank's QM rules. This is distinct from loan flipping and negative amortization.

51. HMDA requires lenders to collect and report data on all of the following EXCEPT:

✓ **C) Bridge loans under 12 months**

Bridge loans with terms of less than 12 months are specifically exempt from HMDA reporting. HMDA requires reporting of home purchase loans, refinances, and home improvement loans secured by a dwelling — even if the application is denied or withdrawn. Business-purpose loans and loans on unimproved land are also exempt. The 12-month bridge loan exemption is a frequently tested exception.

52. HMDA data that lenders must collect includes all of the following EXCEPT:

✓ **D) Rate spread and HOEPA status**

HMDA requires collection of demographic data (race, ethnicity, sex), loan characteristics (amount, purpose, type, lien status), financial data (income, rate spread, HOEPA status), and disposition (approval, denial, withdrawn). Credit score and detailed payment history are NOT HMDA-required data points. Rate spread (the difference between the APR and APOR) IS required — this allows regulators to identify potential high-cost lending disparities.

53. The primary purpose of HMDA is to:

✓ **A) Set maximum interest rates on residential mortgage loans**

HMDA's primary purpose is to provide public data that allows regulators, community organizations, and the public to identify potential discriminatory lending patterns (such as redlining) and assess whether lenders are meeting community credit needs. HMDA does not set interest rate caps, require lending in specific areas, or establish disclosure requirements. Disclosure requirements come from TILA/TRID. Community Reinvestment Act (CRA) addresses lending in low-to-moderate income areas.

54. Which of the following is NOT a required HMDA data point?

✓ **B) Loan-to-value ratio**

Marital status is NOT a required HMDA data point. HMDA collects race, ethnicity, and sex, but not marital status. Denial reasons, loan-to-value ratio, and rate spread are all required HMDA data points. The Dodd-Frank Act significantly expanded HMDA data requirements, adding points like total loan costs, LTV, age, and property type. Marital status, despite being an ECOA protected class, is not collected under HMDA.

55. A lender that is HMDA-reportable makes a loan to purchase a strip mall. This loan:

✓ **C) Is not reportable because commercial property loans are exempt from HMDA**

HMDA only covers loans secured by a dwelling — residential real property. Commercial property loans, including strip malls, office buildings, and industrial properties, are not reportable under HMDA. This is true regardless of the loan amount or the lender's HMDA-reportable status. A mixed-use property (e.g., a building with residential units above commercial space) may require analysis based on the primary purpose of the loan.

56. Under HMDA, an application for a home purchase loan that is WITHDRAWN by the borrower:

✓ **D) Must be reported only if the lender had already approved the loan**

HMDA requires reporting of all covered loan applications regardless of their disposition — approvals, denials, withdrawals, and files closed for incompleteness must all be reported. Withdrawn applications must be reported as 'withdrawn.' This ensures the data captures the full picture of lending activity, including applications that never resulted in a loan. Reporting only completed loans would create a misleading picture of lender activity.

57. The Dodd-Frank Wall Street Reform and Consumer Protection Act created which federal regulatory agency?

✓ **A) The Federal Housing Finance Agency (FHFA)**

The Dodd-Frank Act of 2010 created the Consumer Financial Protection Bureau (CFPB), which is responsible for enforcing consumer financial protection laws including TILA, RESPA, ECOA, HMDA, and UDAP. The FHFA was created separately to oversee Fannie Mae, Freddie Mac, and the Federal Home Loan Banks. FINRA is a self-regulatory organization for securities broker-dealers, not created by Dodd-Frank.

58. Under Dodd-Frank, a Qualified Mortgage (QM) provides lenders with a presumption of compliance with the Ability-to-Repay rule. Which of the following is a requirement for QM status?

✓ **B) Points and fees not exceeding 3% of the loan amount**

For a loan to be a Qualified Mortgage, points and fees cannot exceed 3% of the loan amount (for loans of \$100,000+). QM also requires: DTI of 43% or less (or GSE eligible), no negative amortization, no interest-only payments, and a loan term of 30 years or less. Note that balloon payments are generally prohibited in QM, but a limited exception exists for small creditors in rural/underserved areas. Credit score minimums are not a QM requirement.

59. UDAP, enforced by the CFPB under Dodd-Frank, prohibits financial institutions from engaging in acts that are:

✓ **C) Undisclosed, Discriminatory, Arbitrary, or Predatory**

UDAP stands for Unfair, Deceptive, or Abusive Acts or Practices. The CFPB has broad authority to prohibit UDAP in consumer financial products and services. An act is 'unfair' if it causes substantial unavoidable harm; 'deceptive' if it misleads a reasonable consumer; 'abusive' if it materially interferes with the consumer's ability to understand a product or takes unreasonable advantage of their circumstances. This is a definition question — all other options contain incorrect terminology.

60. The Dodd-Frank Act's Ability-to-Repay (ATR) rule requires lenders to make a reasonable, good-faith determination that the borrower can repay the loan based on verified information. Which of the following is NOT one of the eight ATR underwriting factors?

✓ **D) The borrower's anticipated future salary increases**

The eight ATR factors are: current or reasonably expected income/assets, current employment status, monthly payment on the loan, monthly payments on simultaneous loans, monthly payments on mortgage-related obligations, current debt obligations, monthly DTI, and credit history. Anticipated future salary increases are NOT one of the eight factors — the rule requires consideration of current verified information, not speculative future income. This prevents lenders from qualifying borrowers on unrealistic income projections.

61. A conventional conforming loan is one that:

✓ A) Is insured by the FHA

A conventional conforming loan meets Fannie Mae and Freddie Mac's guidelines (including the conforming loan limit, which adjusts annually) and can be sold to the GSEs. 'Conventional' means not government-backed (no FHA insurance, VA guarantee, or USDA guarantee). 'Conforming' means it meets size and guideline requirements. Loans above the conforming limit are jumbo (non-conforming) conventional loans.

62. The minimum down payment for an FHA loan for a borrower with a credit score of 580 or above is:

✓ B) 3%

FHA requires a minimum down payment of 3.5% for borrowers with credit scores of 580 or above. Borrowers with scores between 500 and 579 must put down 10%. FHA loans also require both an upfront MIP (1.75% of the loan amount) and annual MIP. VA and USDA loans offer 0% down for eligible borrowers. Conventional loans with Fannie/Freddie backing can go as low as 3% down.

63. A 5/1 ARM means the loan has:

✓ C) A 5% initial rate cap and 1% periodic cap

A 5/1 ARM has a fixed interest rate for the first 5 years, then adjusts annually (every 1 year) thereafter. The first number is the initial fixed period; the second is the adjustment frequency. Rate caps on ARMs are expressed separately (e.g., 2/2/5 means 2% initial cap, 2% periodic cap, 5% lifetime cap). Many candidates reverse the numbers — remember: fixed period first, adjustment frequency second.

64. The maximum debt-to-income ratio for a Qualified Mortgage (QM) under the standard rule is:

✓ D) 50%

The standard QM rule requires a maximum back-end DTI of 43%. However, loans eligible for purchase by Fannie Mae or Freddie Mac (GSE-eligible) may exceed 43% DTI and still qualify for QM status under the GSE Patch (which was phased out in 2021, with a transition period). FHA allows up to 57% DTI in some cases. VA has no statutory DTI maximum. The 43% threshold is the standard QM bright-line test.

65. A borrower takes a \$300,000 loan at 6% annual interest. What is the first month's interest portion of the payment?

✓ A) \$1,500

Monthly interest = loan balance × (annual rate ÷ 12). $\$300,000 \times (6\% \div 12) = \$300,000 \times 0.005 = \$1,500$. This is the interest portion only — the total payment would be higher due to the principal component. This calculation is fundamental to understanding amortization. Option B (\$1,800) would be a 7.2% rate; Option C (\$1,200) would be a 4.8% rate.

66. Which of the following best describes a 'non-conforming' loan?

✓ B) A loan that exceeds Fannie Mae/Freddie Mac's conforming loan limit or guidelines

Non-conforming loans do not meet GSE purchase guidelines — either because they exceed the conforming loan limit (jumbo loans) or because they don't meet underwriting standards. FHA loans are government-backed, not non-conforming. Below-market rates describe subsidized or bond loans. Credit score below 620 may result in a non-conforming loan, but the definition of non-conforming is specifically about failing to meet GSE guidelines, most commonly due to loan size.

67. Which of the following statements about VA loans is CORRECT?

✓ C) VA loans do not require a down payment for eligible veterans

VA loans are available to eligible veterans, active-duty service members, and surviving spouses, and they require no down payment (up to the conforming loan limit) and no monthly mortgage insurance. VA loans do require a funding fee (not MIP). VA loans are not available to all U.S. citizens — eligibility requires qualifying military service. VA loan limits were eliminated in 2020 for borrowers with full entitlement.

68. A 'lifetime cap' on an ARM limits:

✓ D) The maximum origination fee the lender can charge

An ARM's lifetime cap limits the maximum total increase in the interest rate over the entire life of the loan, regardless of market conditions. For example, a 5% lifetime cap on a loan starting at 4% means the rate can never exceed 9%. Periodic caps limit how much the rate can change at each adjustment. Payment caps (rare) limit payment changes. The lifetime cap is the absolute ceiling on rate increases.

69. The front-end (housing) DTI ratio measures:

✓ A) Total monthly debt payments divided by gross monthly income

The front-end (housing) DTI ratio is calculated by dividing the monthly PITI (Principal, Interest, Taxes, and Insurance) — plus HOA fees if applicable — by gross monthly income. The back-end DTI includes all monthly debt obligations. DTI uses gross income (before taxes), not net income. Many candidates use net income — a common error in mortgage math.

70. A borrower's gross monthly income is \$6,000. Their monthly PITI is \$1,500 and other monthly debts total \$600. What is the back-end DTI?

✓ **B) 35%**

Back-end DTI = (PITI + all other monthly debts) ÷ gross monthly income = (\$1,500 + \$600) ÷ \$6,000 = \$2,100 ÷ \$6,000 = 35%. The front-end DTI would be \$1,500 ÷ \$6,000 = 25%. Option A (25%) is the front-end DTI — a classic trap. Option D (30%) would be total debts of \$1,800, which is wrong. The back-end ratio includes ALL recurring monthly debt payments.

71. A 'purchase money mortgage' refers to:

✓ **C) A mortgage where part of the purchase price is paid in cash**

A purchase money mortgage is a loan used specifically to finance the purchase of the property that serves as collateral. This is relevant for TILA's right of rescission (which does NOT apply to purchase money mortgages on primary residences). The term distinguishes acquisition financing from refinances, HELOCs, or cash-out loans. PMI (private mortgage insurance) is separate from the definition of 'purchase money.'

72. USDA Rural Development loans are available to borrowers who:

✓ **D) Are first-time homebuyers only**

USDA Rural Development (Section 502) loans require the property to be in a USDA-designated rural area AND the borrower's income to be within USDA income limits (generally 115% of area median income). USDA loans offer 100% financing (no down payment). Military service is a VA eligibility requirement, not USDA. USDA loans are not limited to first-time buyers, though income and area requirements apply to all borrowers.

73. An ARM with a 2/2/5 cap structure means:

✓ **A) The rate adjusts 2% the first year, 2% thereafter, with a 5% maximum adjustment**

The 2/2/5 cap structure means: initial adjustment cap = 2% (maximum rate change at the first adjustment after the fixed period), periodic cap = 2% (maximum change at each subsequent adjustment), lifetime cap = 5% (maximum total rate increase over the loan life). If the starting rate is 5%, the rate can go no higher than 10% at maturity. Many candidates confuse the periodic and lifetime caps — the third number is always the lifetime cap.

74. Private Mortgage Insurance (PMI) is typically required on conventional loans when the LTV exceeds:

✓ **B) 85%**

PMI is required on conventional loans when the LTV exceeds 80% (i.e., down payment is less than 20%). Once the LTV reaches 80% through amortization or appreciation, the borrower may request PMI cancellation; it automatically terminates at 78% LTV under the Homeowners Protection Act. FHA loans require MIP regardless of LTV for most borrowers. PMI protects the lender (not the borrower) against default losses.

75. A property appraised at \$400,000 has a loan of \$320,000. What is the LTV ratio?

✓ **C) 80%**

LTV = Loan Amount ÷ Appraised Value = \$320,000 ÷ \$400,000 = 0.80 = 80%. This is exactly the PMI threshold on conventional loans. At 80% LTV, PMI can be cancelled upon request (per the Homeowners Protection Act). Many candidates accidentally divide by the loan amount instead of the property value — always divide by the appraised value (or sales price, whichever is lower for purchase transactions).

76. A jumbo loan is BEST described as:

✓ **D) A loan requiring a 20% down payment**

A jumbo loan (also called a non-conforming loan) is one that exceeds the Fannie Mae/Freddie Mac conforming loan limit, which adjusts annually. Because GSEs cannot purchase these loans, jumbo loans are typically held in lender portfolios or sold to private investors — they often have stricter underwriting requirements. Jumbo loans are not defined by interest rate, property type, or down payment requirement.

77. FHA loans require two types of mortgage insurance premiums (MIP). These are:

✓ **A) Monthly PMI and annual PMI**

FHA loans require: (1) Upfront MIP (UFMIP) of 1.75% of the base loan amount, paid at closing (can be financed), and (2) Annual MIP paid in monthly installments, which varies based on LTV, loan term, and loan amount. FHA MIP is different from conventional PMI. The annual MIP rate and duration depend on the down payment — with less than 10% down on a 30-year loan, MIP lasts the life of the loan.

78. The 'index' on an ARM loan refers to:

✓ **B) A published financial benchmark used to set the adjustable rate**

The index on an ARM is a published financial benchmark (such as SOFR, Treasury rates, or formerly LIBOR) to which the lender's margin is added to determine the fully indexed rate. Index + Margin = Fully Indexed Rate. The margin is the lender's profit component and does not change. The teaser rate is the initial rate, which may be below the fully indexed rate. Understanding index vs. margin is essential for ARM disclosures under TILA.

79. Which of the following would MOST LIKELY cause a loan to be classified as a Higher-Priced Mortgage Loan (HPML)?

✓ **C) An APR 2.0 percentage points above APOR on a first-lien loan**

A first-lien loan is an HPML if its APR exceeds the APOR by 1.5 percentage points or more (for a conforming loan). For subordinate liens, the threshold is 3.5 percentage points. For jumbo loans, it is 2.5 percentage points. Option C (2.0 pp above APOR) would qualify as HPML for a conforming first lien. Note: HPML triggers ATR requirements and escrow requirements. HPML is different from HOEPA high-cost loans (which require APOR + 6.5 pp).

80. A borrower earns \$8,000 per month gross. The lender's maximum allowed front-end DTI is 28%. What is the maximum allowable monthly PITI payment?

✓ **D) \$3,200**

Maximum PITI = gross monthly income × front-end DTI limit = \$8,000 × 28% = \$8,000 × 0.28 = \$2,240. Option B is correct. Option A (\$1,960) would be 24.5%. Option C (\$2,800) would be 35%. Option D (\$3,200) would be 40%. This is straightforward DTI math — multiply gross monthly income by the DTI percentage to find the maximum payment.

81. The Uniform Residential Loan Application (URLA/Form 1003) collects information about all of the following EXCEPT:

✓ **A) Employment history**

The URLA/Form 1003 collects employment history, assets and liabilities, income, monthly housing expenses, loan purpose, and declarations about bankruptcy, outstanding judgments, etc. It does NOT collect specific credit card account numbers — those come from the credit report. The form collects the existence and balances of liabilities, but not account numbers. Understanding what the 1003 does and does not collect is tested frequently.

82. Self-employed borrowers typically must provide how many years of federal tax returns for income analysis?

✓ **B) 2 years**

Self-employed borrowers (those with 25% or more ownership in a business) must typically provide 2 years of personal and business federal tax returns for income analysis. The 2-year requirement reflects the need to establish stable, consistent self-employment income. A one-year requirement may apply in limited circumstances with significant compensating factors. The 2-year standard is used by Fannie Mae, Freddie Mac, FHA, and VA guidelines.

83. The three major credit reporting agencies (CRAs) that provide mortgage credit reports are:

✓ **C) Experian, FICO, and ChexSystems**

The three major credit reporting agencies used in mortgage lending are Equifax, TransUnion, and Experian. FICO is a credit scoring model, not a credit bureau. ChexSystems tracks banking history (checking accounts), not credit. Dun & Bradstreet tracks business credit. For tri-merge mortgage reports, the middle score (median of the three) is typically used as the qualifying score.

84. Which disclosure must be provided to a borrower within 3 business days of a COMPLETE mortgage application?

✓ **D) HUD-1 Settlement Statement**

Under TRID (which replaced RESPA's GFE and TILA's TIL Statement), the Loan Estimate must be provided within 3 business days of a complete application. The Closing Disclosure replaced the HUD-1 and is provided 3 business days before closing. The Good Faith Estimate and HUD-1 are legacy documents replaced by TRID for applications on or after October 3, 2015. This question tests knowledge of which disclosure applies to which stage.

85. Title insurance that protects the lender's interest in the property is called:

✓ **A) Owner's title insurance**

Lender's title insurance (also called a mortgagee's policy) protects the lender's interest in the property against title defects, liens, or encumbrances discovered after closing. Owner's title insurance (mortgagee's policy) — wait, owner's title insurance protects the buyer/owner, not the lender. Lenders typically require lender's title insurance as a condition of the loan. Owner's title insurance is optional but recommended for buyers. Hazard insurance protects against property damage.

86. When calculating qualifying income for a salaried W-2 employee, an MLO should use:

✓ **B) Net monthly income after taxes**

DTI calculations use gross monthly income (before taxes and deductions), not net income. Using net income would be an underwriting error that could disqualify otherwise eligible borrowers. Bonuses and overtime may be included only if they have a 2-year history and are likely to continue — they cannot be anticipated and added without documentation. The gross income basis is consistent across Fannie Mae, Freddie Mac, FHA, and VA guidelines.

87. A borrower has a FICO score of 700 from Equifax, 680 from TransUnion, and 720 from Experian. The qualifying credit score for mortgage purposes is:

✓ **C) 720 (the highest score)**

For mortgage qualification, the representative credit score is the middle (median) of the three scores from the three major bureaus. With scores of 680, 700, and 720, the middle score is 700. If there are two borrowers, each borrower's middle score is determined first, then the lower of the two middle scores is used as the qualifying score. Option A (average) is wrong — averages are not used in mortgage credit qualification.

88. The 'declarations' section of the URLA/Form 1003 requires the borrower to disclose all of the following EXCEPT:

✓ **D) Current marital status**

The declarations section covers: outstanding judgments, bankruptcies, foreclosures, lawsuits, delinquent federal debt, child support obligations, property as primary residence or investment, and intent to use the property. Marital status is collected elsewhere on the form (because it affects title and loan structure in community property states), but it is NOT part of the declarations section. This tests knowledge of the specific structure of the 1003.

89. What is the purpose of a title search prior to closing?

✓ **A) To verify the property's physical condition**

A title search reviews public records to identify any liens (mortgages, tax liens, judgment liens), encumbrances (easements, restrictions), or defects in the chain of ownership that could affect the lender's security interest or the borrower's ownership rights. A title search is distinct from an appraisal (which determines value) and a home inspection (which assesses physical condition). Lender's title insurance then protects against any title defects that the search may have missed.

90. Alimony and child support income may be used for qualifying purposes if the income has been received for at least how long and is expected to continue for at least how long?

✓ **B) 12 months received; 3 years expected to continue**

Under standard agency guidelines (Fannie Mae/Freddie Mac), alimony and child support income must have been received for at least 6 months prior to the application AND is expected to continue for at least 3 years. Documentation typically includes the divorce decree or court order and 6 months' bank statements showing receipt. Income expected to continue for less than 3 years generally cannot be used for qualifying.

91. A borrower had a Chapter 7 bankruptcy discharged 2.5 years ago. Under FHA guidelines, the borrower:

✓ **C) Must wait 4 years after discharge for FHA financing**

FHA requires a 2-year waiting period after Chapter 7 bankruptcy discharge, with re-established credit and no new derogatory credit since discharge. The borrower at 2.5 years post-discharge may be eligible. Conventional loans (Fannie/Freddie) require 4 years after Chapter 7. VA loans require 2 years. USDA requires 3 years. Since 2.5 years exceeds FHA's 2-year minimum, the borrower may qualify for FHA with proper credit re-establishment.

92. The Affiliated Business Arrangement disclosure under RESPA must be provided:

✓ **D) Within 24 hours of the referral**

The AfBA disclosure under RESPA must be given at or before the time of the referral to the affiliated settlement service provider. This ensures the borrower knows about the business relationship before they are steered toward the affiliate and can make an informed decision about whether to use that provider. The disclosure must also inform the borrower of their right to use other providers.

93. An appraisal ordered by the lender for an FHA loan must be completed by:

✓ **A) Any licensed real estate agent**

FHA appraisals must be completed by an FHA-approved appraiser who is listed on HUD's FHA Appraiser Roster. These appraisers have additional FHA-specific training and meet HUD's eligibility requirements. FHA appraisals serve dual purposes: establishing value AND ensuring the property meets FHA's Minimum Property Standards (MPS). Conventional appraisals do not require FHA Roster membership but must meet USPAP standards.

94. When calculating DTI, which of the following monthly obligations must be included?

✓ **B) Student loan payments, even if currently deferred**

Student loan payments must be included in DTI calculations even if currently in deferment, forbearance, or income-driven repayment. For deferred loans, lenders typically use 1% of the outstanding balance as the monthly payment if no payment is required. Utilities, cell phones, and groceries are living expenses, not debt obligations. Voluntary retirement contributions (401k) are not required debts and are excluded from DTI.

95. Under HMDA and Regulation B, an MLO MUST collect information about an applicant's race, ethnicity, and sex when:

✓ **C) The borrower specifically requests it be collected**

HMDA and Reg B require collection of race, ethnicity, and sex for face-to-face applications (the MLO must attempt collection even if the borrower refuses). For mail or internet applications, the information must be requested. The borrower may choose not to provide it, and refusal must be noted. Collection is required for all applications — not just government-backed loans. The data is used for fair lending monitoring, not underwriting decisions.

96. Which credit scoring model is most commonly used by mortgage lenders for underwriting?

✓ **D) TransUnion RiskScore**

Mortgage lenders use older FICO models specific to mortgage lending: FICO Score 2 (Experian), FICO Score 4 (TransUnion), and FICO Score 5 (Equifax). These are different from FICO Score 8, which is used for other consumer credit. VantageScore is used by some consumer-facing tools but not typically for mortgage underwriting. The mortgage-specific FICO models are required by Fannie Mae and Freddie Mac for conforming loans.

97. The closing disclosure must list all of the following EXCEPT:

✓ **A) Loan terms and projected payments**

The Closing Disclosure does not include the borrower's employment history — that is on the loan application (1003). The CD must include: loan terms, projected monthly payments, detailed closing costs, cash to close, loan disclosures, and contact information. The CD replaced the HUD-1 Settlement Statement and TILA TIL Statement for applications on or after October 3, 2015. Employment history is documented in the application, not the CD.

98. Rental income from a property the borrower owns may typically be used for qualifying if the borrower can document a history of rental income. What percentage of gross rental income is typically used after a vacancy/expense factor?

✓ **B) 75%**

Fannie Mae and Freddie Mac typically allow 75% of gross rental income to be used for qualifying purposes after applying a 25% vacancy and expense factor. FHA and VA also use 75% of gross rent in most cases. Some lenders may use 85% or higher with strong documentation, but 75% is the standard agency guideline. Using 100% of rental income without a vacancy factor would overstate income and is not permitted under standard guidelines.

99. 'Clear to Close' (CTC) means:

✓ **C) The borrower has signed all closing documents**

'Clear to Close' is the underwriter's final approval indicating all loan conditions (prior-to-close conditions) have been satisfied and the loan is cleared to proceed to the closing table. It is issued after all documentation, appraisal, title, and verification conditions are met. It does NOT mean documents have been signed (that happens at closing) or funds disbursed (that happens at funding). The CTC is the green light for the closing agent to schedule closing.

100. Under TRID, the Closing Disclosure must be provided by the:

✓ **D) HUD-approved housing counselor**

Under TRID, the lender is responsible for providing the Closing Disclosure to the borrower. The lender may authorize the settlement agent (title/escrow company) to provide it on their behalf, but ultimate responsibility remains with the lender. Real estate agents have no role in CD preparation or delivery. HUD counselors are involved in HOEPA high-cost loans, not CD delivery. This tests awareness that the lender bears regulatory responsibility for the CD.

101. Which of the following is MOST LIKELY a UDAAP violation?

✓ **A) Charging a 1% origination fee that is clearly disclosed on the Loan Estimate**

Advertising a promotional rate in large type while burying the APR in nearly invisible fine print is a deceptive act under UDAAP. UDAAP prohibits unfair, deceptive, OR abusive acts — any one of the three is a violation. Deceptive practices mislead reasonable consumers. A clearly disclosed origination fee, guidelines-based denial, and documentation requirements are all permissible. The advertising example creates a false impression about the true cost of the loan.

102. An MLO who inflates an applicant's stated income on a loan application to help them qualify is committing:

✓ **B) Mortgage fraud (misrepresentation)**

Inflating an applicant's income on a loan application is mortgage fraud — specifically misrepresentation. This is a federal crime under 18 U.S.C. § 1014 and may also violate 18 U.S.C. § 1344 (bank fraud). It is not a RESPA, TRID, or ECOA issue. Mortgage fraud can result in criminal prosecution, fines, imprisonment, and loss of the MLO license. The MLO's intent to 'help' the borrower does not mitigate the criminal nature of the act.

103. An MLO's duty of care to a borrower is BEST described as:

✓ **C) Maximizing the lender's yield spread premium on every loan**

MLOs have an ethical and regulatory duty to act in the borrower's best interest — recommending suitable loan products, being transparent about costs and risks, and avoiding conflicts of interest. Placing lender profit above borrower welfare, maximizing yield spread premiums at the borrower's expense, or steering to affiliated services for personal gain are all violations of professional conduct standards and potentially UDAAP. Dodd-Frank's loan originator compensation rules also restrict steering.

104. Which of the following is an example of predatory lending?

✓ **D) Requiring the borrower to obtain homeowner's insurance as a condition of closing**

Placing a vulnerable borrower (elderly, with equity) into a high-cost loan they cannot afford — solely to extract fees and equity — is a textbook example of predatory lending. This may violate HOEPA (equity stripping), UDAAP (unfair/abusive practice), and potentially the Fair Housing Act if protected class members are targeted. Offering competitive products, maintaining underwriting standards, and requiring insurance are all legitimate lender practices.

105. A lender's collections department uses aggressive and threatening language when contacting a borrower who is 30 days late. This MOST LIKELY violates:

✓ **A) RESPA Section 8**

Aggressive, threatening, or abusive debt collection practices violate both UDAAP (unfair and abusive acts) and the FDCPA (which restricts harassment, false representations, and unfair practices in debt collection). For first-party collectors (the original lender), UDAAP applies even where FDCPA may not. RESPA, TILA rescission, and HMDA are not relevant to collection conduct. This tests the intersection of UDAAP and collection practices.

106. Property flipping fraud in the mortgage context typically involves:

✓ **B) Inflating property values through collusive appraisals to obtain larger loans**

Property flipping fraud involves collusive transactions where a property is purchased and rapidly resold at an artificially inflated price — often using fraudulent appraisals — to extract loan proceeds that exceed the property's true value. This is distinct from legitimate property flipping (buying, renovating, and selling). Fraudulent flipping harms lenders and investors and is a federal crime. Occupancy fraud (Option C) is a separate type of mortgage fraud.

107. Under Dodd-Frank's loan originator compensation rules, an MLO's compensation may be based on:

✓ **C) The loan amount (a flat percentage of the loan)**

Under Dodd-Frank's loan originator compensation rules (Reg Z), an MLO's compensation may be based on loan amount (a fixed percentage per loan). It may NOT be based on: the interest rate or APR, the loan-to-value ratio, the borrower's credit score, or other proxy terms that could incentivize steering. The rule was designed to prevent MLOs from steering borrowers into higher-cost loans for personal financial gain. Option C (loan amount) is the permitted basis.

108. Which of the following is an example of an 'abusive' act under UDAAP?

✓ **D) Requiring documentation that is standard in the industry**

An 'abusive' act under UDAAP is one that materially interferes with the consumer's ability to understand a product or service, OR takes unreasonable advantage of: a lack of understanding, the consumer's inability to protect their own interests, or the consumer's reasonable reliance on the covered person. Taking advantage of a vulnerable borrower (e.g., cognitive impairment, financial distress) who cannot protect their own interests is the classic UDAAP abuse scenario. The other options describe legitimate practices.

109. An MLO discovers that a borrower plans to represent an investment property as a primary residence to obtain a lower interest rate. The MLO should:

✓ **A) Complete the transaction as requested — the borrower's intent is their own responsibility**

Occupancy fraud — misrepresenting a property as a primary residence to obtain better loan terms — is mortgage fraud. The MLO who knowingly participates becomes a co-conspirator in the fraud. The correct action is to report the issue to compliance and refuse to originate the loan. Completing the transaction, adjusting rates, or noting but proceeding all constitute participation in fraud. MLOs have an affirmative obligation to refuse and report known fraud.

110. An MLO who recommends a loan with excessive fees to an unsophisticated borrower who could qualify for a less expensive product is engaging in:

✓ B) Steering — a predatory practice violating UDAAP and Dodd-Frank compensation rules

Steering borrowers into more expensive loans when they qualify for less expensive alternatives is prohibited under both UDAAP (abusive/unfair practice) and Dodd-Frank's anti-steering rule. The anti-steering rule requires MLOs to present borrowers with loan options that include the lowest rate/cost product they qualify for. Recommending excessive fees to an unsophisticated borrower who cannot fully evaluate the harm is both predatory and regulatory violation.

111. Which of the following actions by an MLO would constitute a conflict of interest?

✓ C) Advising a borrower about the difference between fixed and adjustable rate loans

A conflict of interest exists when an MLO's personal financial interest (higher compensation from a specific lender) is not disclosed to the borrower, potentially causing the MLO to recommend products that benefit the MLO over the borrower. UDAAP requires transparency, and Dodd-Frank's compensation rules address steering. Referring to an unrelated title company, providing educational advice, or delivering required disclosures on time are all appropriate practices.

112. A mortgage company advertises 'NO CLOSING COSTS!' but in reality rolls all closing costs into the loan balance, resulting in a higher loan amount and more interest paid over time. This is BEST described as:

✓ D) A RESPA Section 9 violation

Advertising 'NO CLOSING COSTS' when costs are actually rolled into the loan is a deceptive practice under UDAAP — it creates a misleading impression about the true cost of the loan. A reasonable consumer would understand 'no closing costs' to mean they pay nothing, not that costs are simply deferred into a larger balance with more interest. This violates UDAAP even if the loan disclosures elsewhere accurately reflect the loan amount. It is not a TRID tolerance violation or a RESPA issue.

113. Under the SAFE Act, which of the following individuals is required to be licensed as an MLO?

✓ A) A bank employee who takes mortgage applications as part of their regular duties

Under the SAFE Act, independent contractors who take residential mortgage loan applications must be licensed as MLOs through their state and registered with the NMLS. Bank employees (federally chartered institutions) are REGISTERED rather than licensed under the SAFE Act — a distinction tested frequently. Real estate agents who only refer (without taking applications) and purely administrative loan processors are not required to be licensed.

114. The Nationwide Multistate Licensing System (NMLS) is primarily used to:

✓ B) License and track mortgage loan originators across states

The NMLS (Nationwide Multistate Licensing System) is the central licensing and registration system for mortgage loan originators. It tracks MLO license applications, renewals, background checks, continuing education completion, and disciplinary actions across all states. The NMLS does not set interest rates, approve loan applications, or establish underwriting guidelines — those are functions of individual states, lenders, and GSEs.

115. Under the SAFE Act, a new MLO must complete how many hours of pre-licensure education before taking the national MLO licensing exam?

✓ C) 20 hours

The SAFE Act requires a minimum of 20 hours of pre-licensure education (PE) covering: 3 hours of federal law, 3 hours of ethics, 2 hours of non-traditional mortgage products, and 12 hours of electives. After completing PE, candidates take the SAFE MLO National Test (with UST component). States may require additional hours beyond the federal minimum. This is a commonly tested number — remember 20 hours for pre-licensure.

116. The SAFE Act was enacted as part of which larger federal legislation?

✓ D) The Community Reinvestment Act

The SAFE Mortgage Licensing Act was enacted as Title V of the Housing and Economic Recovery Act of 2008 (HERA). It established minimum standards for the licensing and registration of mortgage loan originators. The SAFE Act predates Dodd-Frank (2010). Gramm-Leach-Bliley relates to financial privacy. CRA addresses lending in low-to-moderate income communities. Knowing the legislative history of the SAFE Act is a common exam topic.

117. Licensed MLOs must complete how many hours of continuing education (CE) per year to maintain their license?

✓ A) 4 hours

The SAFE Act requires licensed MLOs to complete a minimum of 8 hours of continuing education (CE) per year: 3 hours of federal law, 2 hours of ethics, 2 hours of non-traditional mortgage products, and 1 hour of electives (plus any state-required CE). The 8-hour minimum applies annually for license renewal. MLOs cannot take the same approved CE course two consecutive years and still receive credit. States may require additional CE hours.

118. Under the SAFE Act, which of the following background check requirements applies to MLO license applicants?

✓ **B) No felony convictions involving fraud, dishonesty, or breach of trust at any time**

The SAFE Act permanently bars individuals with felony convictions involving fraud, dishonesty, breach of trust, or money laundering from obtaining an MLO license. Other felony convictions within 7 years of application are also disqualifying. There is no similar permanent bar for misdemeanors or bankruptcy. The permanent bar for fraud-related felonies reflects the trust required of MLOs who handle sensitive financial transactions. This is a 'no time limit' bar — not 10 years.

119. An MLO who moves from one state to another and wants to originate loans in the new state must:

✓ **C) Simply update their home address with the NMLS**

An MLO moving to a new state must apply for a new state license in that state through the NMLS, meeting the new state's specific requirements (which may include state-specific education and/or exam components). The national SAFE exam typically does not need to be retaken if it was passed within an applicable window, but state licensing requirements must be satisfied. NMLS centralizes the process but does not make a license automatically portable across state lines.

120. Under the SAFE Act, the term 'residential mortgage loan' includes all of the following EXCEPT:

✓ **D) A refinance loan on a borrower's primary residence**

A loan secured by a commercial office building is NOT a residential mortgage loan under the SAFE Act. The SAFE Act covers loans secured by residential real property — 1-4 family dwellings used as residences. Commercial loans, agricultural loans, and business-purpose loans are outside the SAFE Act's scope. HELOCs and refinances on primary residences are covered. This tests the definition of 'residential mortgage loan' and what triggers SAFE Act licensing requirements.

SCORE	RESULT	NEXT STEPS
108–120 (90–100%)	EXCELLENT ✓	Review any missed; you're on track to pass.
90–107 (75–89%)	PASS ✓	Close! Shore up weak topics in study notes.
72–89 (60–74%)	BORDERLINE	Re-read weak sections; retake this exam.
0–71 (below 60%)	NEEDS WORK	Study notes first, then retry in 24 hrs.